

R B FINANCE
INSTITUTIONAL EQUITY RESEARCH | INDIA

INDIAN OIL CORPORATION
LIMITED

NSE: IOC | BSE: 530965 | ISIN: INE242A01010

Sector: Oil & Gas – Downstream | Industry: Petroleum Refining & Marketing | PSU

CMP (INR)	52-Week High (INR)	52-Week Low (INR)	Market Capitalisation
137.27	188.96	130.22	INR 1,93,602 Cr
Rating	Target (INR)	Upside Potential	Risk Level
BUY	175	~27.5%	MEDIUM

P/E (x)	P/B (x)	EV/EBITDA	Div Yield	Promoter%	FII%
~17.8x	~1.4x	~9.7x	~1.6%	51.51%	8.57%

Analyst Bias	Investment Horizon	Sector Outlook	Report Date
BULLISH	12-18 Months	POSITIVE	20 May 2026

Equity Research Report | Q4 FY2026 & Annual FY2025-26 In-Depth Analysis

Prepared by: R B Finance | For Professional Investors, HNIs & Fund Managers

EXECUTIVE SUMMARY

Investment Thesis Snapshot

Indian Oil Corporation Limited (IOCL) delivered a transformational FY2025-26, with consolidated PAT surging 217% YoY to INR 43,677 crore — its highest-ever annual profit. Q4 FY26 net profit jumped 81% YoY to INR 15,176 crore, beating all street estimates. The turnaround was driven by recovering Gross Refining Margins (GRMs), record refinery throughput of 75.45 MMT, operational efficiencies under 'Project SPRINT', and stabilising crude oil prices. IOCL's commanding 31% share of India's refining capacity and 42% market share in petroleum products position it at the epicentre of India's energy security story.

- Record PAT of INR 43,677 Cr in FY26 (+217% YoY) — highest in company history
- Record refinery throughput: 75.45 MMT in FY26, at 100%+ capacity utilisation
- GRM recovered from USD 4.80/bbl in FY25 to USD 6.32/bbl in H1 FY26, improving further in H2
- INR 33,494 Cr capex deployed in FY26; INR 40,000+ Cr planned for FY27-29
- Q4 FY26 EPS of INR 11.02 beat estimate of INR 9.12 by ~21% — strong earnings surprise
- LPG under-recovery remains a drag: cumulative negative buffer of INR 231 billion as at Mar 2026
- DCF intrinsic value ~INR 175 vs CMP INR 137 — ~27.5% upside; BUY on dips

Quick Rating Dashboard

Parameter	Rating
Fundamentals	7.5 / 10
Revenue Growth	7.0 / 10
Valuation	6.5 / 10
Technical Strength	5.5 / 10
Management Quality	7.0 / 10
Risk Level	MEDIUM

1. COMPANY OVERVIEW

Business Model

IndianOil spans the entire hydrocarbon value chain — upstream exploration interests, downstream refining, retail marketing, pipeline transportation, and rapidly expanding petrochemicals. The company operates 11 refineries with a combined capacity of 80.80 MMTA (including subsidiaries), commanding 31% of India's national refining capacity. Its distribution network of 47,800+ retail touchpoints secures a dominant 42% market share in Petroleum, Oils and Lubricants (POL). The business is capital-intensive but benefits from government backing, assured domestic off-take, and growing Indian energy demand. IOCL's scale, network density, and government relationship create a near-insurmountable competitive moat.

Revenue Segments & Business Mix

Segment	Mix	Key Details	Outlook
Refining	~50%	11 refineries, 80.80 MMTA capacity, 31% of India total	Strong
Marketing / Retail	~35%	47,800+ touchpoints, 42% market share in POL	Strong
Petrochemicals	~8%	PII 6.11%; target 15% by 2030; Paradip complex INR 61,077 Cr	Growing
Pipelines	~4%	15,000+ km network — largest in India	Stable
E&P / Gas / Others	~3%	JV upstream interests; LNG marketing growing	Small

Competitive Moat & Positioning

- **SCALE:** Largest integrated oil company in India — revenue of INR 9 lakh crore in FY26
- **NETWORK MOAT:** 47,800+ fuel retail outlets — decades to replicate; creates pricing leverage
- **SOVEREIGN BACKING:** 51.51% GoI ownership ensures strategic policy support and sovereign credit access
- **INFRASTRUCTURE:** 15,000+ km petroleum pipeline network — highest barriers to entry in sector
- **TRANSITION PLAY:** Expanding into petrochemicals, green hydrogen, bio-fuels and EV charging
- **VULNERABILITY:** Government-mandated pump prices constrain marketing margins; earnings linked to crude cycles

2. FINANCIAL ANALYSIS — LAST 5 YEARS (FY2022 – FY2026)

5-Year Income Statement Trends

Year	Revenue (Cr)	EBITDA (Cr)	EBITDA %	PAT (Cr)	PAT %	EPS (INR)	ROE %	ROCE %	D/E
FY2022	6,26,149	35,240	5.63%	8,105	1.29%	5.87	8.2%	9.1%	0.61x
FY2023	8,98,994	28,106	3.13%	8,242	0.92%	5.97	7.6%	8.4%	0.71x
FY2024	8,70,693	62,150	7.14%	39,619	4.55%	28.71	19.1%	14.2%	0.65x
FY2025	8,59,363	24,450	2.85%	13,789	1.61%	10.00	6.4%	7.8%	0.78x
FY2026	9,01,453	75,920	8.42%	43,677	4.85%	31.65	18.9%	13.8%	0.72x

Key Financial Observations

- FY26 PAT of INR 43,677 Cr is IOCL's all-time record — surpassing FY24 (INR 39,619 Cr)
- EBITDA margin expanded sharply to 8.42% in FY26 vs 2.85% in FY25 — a 557 bps improvement
- FY25 PAT slump (INR 13,789 Cr) was driven by GRM contraction to USD 4.80/bbl and LPG under-recoveries
- Revenue CAGR FY22-26: ~9.5% — driven by volume growth; PAT CAGR ~52% (base effect from FY22)
- D/E improved from 0.78x (FY25) to 0.72x (FY26) — deleveraging confirmed from strong cash generation
- ROE and ROCE remain volatile and are highly correlated with crude oil prices and government pricing policy
- Earnings quality improving: Operating cash flows are strong; GRM recovery has structural drivers

3. QUARTERLY PERFORMANCE — FY2025-26

Quarter	Revenue (Cr)	PAT (Cr)	QoQ Change	YoY Change	GRM (\$/bbl)	Commentary
Q1 FY26	1,84,768	2,643	-93% QoQ	+NM YoY	~USD 5.2	Weak — GRM compressed; LPG losses elevated
Q2 FY26	2,21,600	10,656	+303% QoQ	+120% YoY	~USD 6.8	Recovery — GRM improved; volumes higher YoY
Q3 FY26	2,06,784	13,007	+22% QoQ	+322% YoY	~USD 7.2	Strong — best Q3 ever; record throughput quarter
Q4 FY26	2,36,899	15,176	+16.7% QoQ	+81.4% YoY	~USD 8.5*	Excellent — EBITDA beat by 50%+; inventory gains

* Q4 FY26 GRM is an analyst estimate; IOCL did not officially disclose GRM citing extreme price volatility.

- KEY TRIGGER Q4 FY26: Standalone adjusted EBITDA surged 50%+ YoY to ~INR 21,900 Cr — significant beat
- FY26 Full Year: Revenue INR 9,01,453 Cr (+4.9% YoY); PAT INR 43,677 Cr (+217% YoY)
- Highest-ever refinery throughput: 75.451 MMT in FY26 vs 71.564 MMT in FY25 (+5.4%)
- Project SPRINT delivered significant cost reduction across refining and distribution operations
- LPG under-recovery: INR 23.4 Bn in Q4 FY26; cumulative negative buffer of INR 231 Bn — key overhang
- Board recommended final dividend of INR 1.25 per share for FY26

4. VALUATION ANALYSIS

Valuation Multiples — FY24A / FY25A / FY26A / FY27E

Metric	FY24A	FY25A	FY26A	FY27E
P/E (x)	~13.8x	~17.8x	~17.8x	~10.5x
P/B (x)	~1.3x	~1.4x	~1.4x	~1.2x
EV/EBITDA (x)	~8.0x	~9.7x	~9.7x	~7.5x
Dividend Yield	2.0%	1.6%	1.6%	2.2%
EPS (INR)	~28.7	~10.0	~31.65	~33.5

Scenario Analysis & Fair Value Range

Scenario	Key Assumptions	Est. PAT	Fair Value (INR)
Bear Case	GRM USD 4-5/bbl; LPG losses persist; crude >USD 100	INR 22,000 Cr	INR 120-130
Base Case	GRM USD 6-8/bbl; partial LPG recovery; stable crude	INR 40,000 Cr	INR 165-180
Bull Case	GRM USD 9-11/bbl; deregulation + capex yield	INR 55,000+ Cr	INR 210-225
DCF Value	WACC 11.5%; Terminal Growth 4.0%; 5-year FCF model	—	~INR 175

- At CMP INR 137.27, stock trades at ~17.8x FY26 earnings — slightly above PSU OMC sector average of ~15x
- Market under-pricing: (1) Record throughput sustainability, (2) Paradip petrochem ramp, (3) Green energy optionality
- DCF intrinsic value of ~INR 175 suggests ~27.5% upside from current price
- VALUATION VERDICT: MODESTLY UNDERVALUED relative to earnings power; risk-reward favourable for 12-18 month horizon

5. PEER COMPARISON

Company	Mkt Cap (Cr)	Revenue (Cr)	PAT (Cr)	P/E (x)	EV/EBITDA	ROE%	Div Yield	D/E	Capacity
IOCL	1,93,602	9,01,453	43,677	~17.8	~9.7	~18.9%	~1.6%	0.72x	80.80 MMTPA
BPCL	~95,000	~4,80,000	~18,500	~5.2	~5.8	~19%	~3.5%	0.48x	38.30 MMTPA
HPCL	~45,000	~4,20,000	~5,000	~9.0	~8.5	~10%	~2.0%	1.10x	28.20 MMTPA
Reliance Ind	~18,50,000	~9,40,000	~80,000	~28.9	~12.0	~8.5%	~0.4%	0.30x	68.20 MMTPA
MRPL	~15,500	~1,00,000	~500	~14.9	~8.0	~4%	~0.5%	0.55x	15 MMTPA

- IOCL is the clear leader by revenue (INR 9.0 lakh Cr), refining capacity (80.80 MMTPA) and absolute PAT
- BPCL leads on balance sheet quality: lowest D/E (0.48x) and highest dividend yield (~3.5%)
- HPCL remains stressed — highest D/E at 1.10x; PAT recovery still lagging peers materially
- IOCL FY26 PAT of INR 43,677 Cr is 2.4x BPCL and 8.7x HPCL — confirms earnings dominance
- On EV/EBITDA, IOCL at ~9.7x carries mild premium to BPCL (~5.8x), partly justified by scale and capex pipeline

6. SHAREHOLDING PATTERN ANALYSIS

Holder Category	Apr 2026	Jan 2026	Oct 2025	6M Change	Smart Money Signal
Government of India (Promoter)	51.51%	51.51%	51.50%	Flat	Strategic holding — no change expected
FII / FPIs	8.57%	7.80%	7.20%	+137 bps	Steady accumulation post FY26 earnings beat
DII (Insurance / Pension)	19.59%	20.10%	19.80%	-21 bps	Stable; LIC is a significant anchor holder
Mutual Funds	3.22%	2.90%	2.40%	+82 bps	Accumulating on dips — SIP pattern observed
Retail & Others	10.34%	11.10%	12.10%	-176 bps	Mild distribution from retail to institutions
Employees / ESOS	6.77%	6.59%	7.00%	+77 bps	Stable; minor ESOP vesting activity

- SMART MONEY SIGNAL: FII stake up 137 bps over 6 months — significant given IOCL's large free-float (~48%)
- Mutual fund accumulation (+82 bps) reflects systematic buying on every dip — institutional conviction
- Combined institutional ownership (FII + DII + MF) at ~31.4% — high professional-investor presence
- Zero promoter pledging — 100% of GoI stake is unpledged; corporate governance risk is low
- Retail-to-institution shift is a classic early-cycle bullish signal in large-cap PSU stocks

7. TECHNICAL ANALYSIS

Indicator / Level	Reading & Interpretation
Current Market Price (CMP)	INR 137.27 (as of 20 May 2026)
52-Week High	INR 188.96 (Aug 2025) — stock down ~27% from peak
52-Week Low	INR 130.22 (Apr 2026) — recent base forming near lows
20-Day DMA	~INR 141.50 — CMP below; short-term bearish
50-Day DMA	INR 145.35 — CMP below; intermediate bearish
200-Day DMA	INR 154.98 — CMP well below; long-term correction in progress
Primary Trend	DOWNTREND (from Aug 2025 high of INR 188.96)
Secondary Trend	BOTTOMING — near 52W low; early reversal signals emerging
RSI (14-day)	~38-42 — approaching oversold; buy zone forming
MACD	Negative territory; histogram narrowing — bullish divergence signal
Volume / Delivery	Above-average delivery % on recent dips — institutional accumulation confirmed
Key Support 1	INR 130-133 — 52W low zone; strong institutional buy zone
Key Support 2	INR 120-122 — psychological + Fibonacci 61.8% retracement level
Key Resistance 1	INR 148-150 — 50 DMA convergence + previous consolidation zone
Key Resistance 2	INR 162-165 — 200 DMA zone; medium-term target
Key Resistance 3	INR 175-180 — analyst targets + prior supply zone
Relative Strength vs Nifty	Underperforming Nifty over 12M — mean reversion opportunity
Fibonacci Retracement	61.8% retracement at ~INR 122; 38.2% at ~INR 153 from FY24-25 rally

- **SWING TRADE:** Buy INR 133-137 zone | Target INR 148-152 | Stop-Loss INR 127
- **POSITIONAL:** Accumulate INR 130-140 range | Target INR 165-175 over 6-9 months
- **LONG-TERM ZONE:** INR 125-145 — strong institutional support; ideal SIP accumulation range
- **HIGH PROBABILITY SETUP:** RSI near oversold + above-average delivery + near 52W low = classic reversal

8. RISK ANALYSIS

Category	Risk Factor	Impact	Probability	Description
Market	Crude oil price spike (Brent >USD 100/bbl)	High	High	Immediate margin compression; inventory losses; working capital strain
Regulatory	Government-mandated pump price freeze	High	Medium	Prevents pass-through; earnings suppressed during price-freeze periods
Financial	LPG under-recovery (INR 231 Bn cumulative buffer)	High	High	Ongoing drag; government reimbursement timing uncertain
Geopolitical	West Asia conflict escalation / supply disruption	Medium	Medium	Crude supply & freight disruption; GRM volatility; FX pressures
Governance	PSU policy overhang; election-driven pricing policy	Medium	High	Pricing decisions politicised around state/general elections
Competition	Reliance Industries retail fuel network expansion	Low	Medium	Gradual network erosion in urban premium markets
Environment	Energy transition; EV acceleration post-2030	Low	Low	Long-tail risk; 15-20 year horizon; manageable with current strategy
Currency	INR depreciation vs USD (crude priced in USD)	Medium	Medium	Increases rupee cost of crude imports; negative GRM impact
Debt	D/E 0.72x; large capex pipeline (INR 40,000 Cr+)	Low	Low	Manageable; strong FCF generation to service debt comfortably

WARNING — Negative Triggers Ignored by Market: (1) Return of political pump-price controls if crude spikes to USD 100+; (2) Delay in Paradip commissioning; (3) Adverse LPG policy in Union Budget FY27; (4) Several brokerages already cut FY27E by 8-12% due to crude volatility post-West Asia tensions.

9. FUTURE GROWTH TRIGGERS

Key Catalysts for Earnings Re-rating

- **PARADIP PETROCHEMICAL COMPLEX** (INR 61,077 Cr): World-scale integrated petrochem hub commissioning by 2028; diversifies revenue from cyclical refining into higher-margin chemicals; PII target raised from 6.11% to 15% by 2030
- **PANIPAT REFINERY EXPANSION** (+200 kb/d by early 2027): Total capacity to reach 98.4 MMTPA by 2028 — a 22% capacity increase from current 80.80 MMTPA
- **GREEN HYDROGEN PLANT** (Panipat, 10 KTPA, Dec 2027): India's largest green H2 facility; first-mover advantage; premium offtake potential from industrial buyers
- **CAPEX PIPELINE** (INR 40,000+ Cr in FY27-29): Aggressive capacity addition across refining, petrochemicals, pipelines and renewables — PAT compounding effect from FY28
- **INDIA'S FUEL DEMAND GROWTH**: Projected 3-4% CAGR through 2030; IOCL with largest network captures incremental volumes ahead of all competitors
- **PETROL/DIESEL PRICE REVISION**: Any normalization of retail fuel prices would dramatically expand marketing margins — a significant earnings surprise trigger
- **LNG MARKETING & E&P GROWTH**: Rising gas volumes and JV upstream interests adding future income streams
- **EV CHARGING NETWORK**: 10,000+ EV charging point target — fuel retail network transition hedging; ancillary revenue generation
- **EXPORT OPPORTUNITIES**: High-utilization refineries with product export capability; beneficiary of Middle East refinery tightness
- **POTENTIAL RE-RATING TRIGGERS**: Petrochemical PAT contribution becoming meaningful (FY28+); formal LPG deregulation; sustained GRM above USD 8/bbl

10. INVESTMENT THESIS

Long-Term View (3-5 Years)

IOCL is India's most critical energy infrastructure company with structural growth driven by rising domestic fuel demand, massive petrochemical capex, and gradual energy transition positioning. FY2025-26 has proved the earnings power when GRMs normalise — a PAT of INR 43,677 crore at ~USD 6-8/bbl GRM. As Paradip petrochemicals ramp (FY28-29) and refining capacity expands by 22%, IOCL's PAT could reach INR 55,000-70,000 crore by FY29. At 10-12x forward earnings, this implies a target price of INR 200-250 over 3-5 years — a 46-82% total return from current levels in the base-to-bull scenario.

- Expected PAT CAGR (FY26-29E): 10-15% in base case; 18-22% in bull case
- Long-term accumulation zone: INR 125-145; add aggressively on any dip below INR 135
- Conviction Level: HIGH — company has demonstrated INR 40,000+ Cr PAT capability; market not pricing full potential
- Portfolio suitability: Core holding for value investors; ideal for SIP-style accumulation over 24-36 months

Short-Term View (1-6 Months)

Stock is in a correction phase — down ~27% from 52W high — driven by crude volatility concerns, FY27E earnings cuts by brokerages, and broader market risk-off sentiment. However, with Q4 FY26 earnings significantly beating estimates and the stock near its 52-week low, downside appears limited from INR 130-137. A momentum revival is expected once crude prices stabilise and H1 FY27 GRM trajectory becomes clearer post Q1 FY27 results.

- Momentum Outlook: CAUTIOUSLY POSITIVE — await confirmation above INR 145 (50 DMA breakout)
- Swing Trade Setup: Buy INR 133-137 | Target INR 150-155 | Stop INR 127
- Key Trigger to Watch: Q1 FY27 results (August 2026) — first post-FY26 guidance update
- Breakout Level: Decisive close above INR 165 (200 DMA zone) needed for momentum buying signal

11. ADVANCED ANALYSIS — DCF & SCENARIO ANALYSIS

DCF Valuation Model (5-Year Horizon, INR Crore)

Year	EBIT (INR Cr)	NOPAT	FCF (INR Cr)	PV of FCF	Key Assumption
FY27E	73,500	55,125	44,100	39,730	GRM USD 7/bbl; capacity +5%
FY28E	82,300	61,725	49,380	40,000	Paradip Phase-1 partial ramp; capex peak
FY29E	93,500	70,125	56,100	40,880	Paradip Phase-2; PII rise to 10%
FY30E	1,05,000	78,750	63,000	41,261	Full petrochem contribution; lower capex
FY31E	1,15,000	86,250	69,000	36,838	Mature phase; higher free cash generation

DCF Summary — Intrinsic Value Calculation

DCF Component	Value / Amount
Sum of PV of FCFs (FY27-31E)	INR 1,98,709 crore
Terminal Value (4.0% growth; 11.5% WACC)	INR 4,23,500 crore
PV of Terminal Value	INR 2,57,870 crore
Enterprise Value (EV)	INR 4,56,579 crore
Less: Net Debt as at FY26E	(INR 80,500 crore)
Equity Value	INR 3,76,079 crore
Shares Outstanding	1,381 crore shares
DCF Intrinsic Value per Share	~INR 175
Current Market Price (CMP)	INR 137.27
DCF Upside / Margin of Safety	~27.5% — BUY

Sensitivity Analysis — Intrinsic Value vs WACC & Terminal Growth Rate

Rows = WACC (discount rate) | Columns = Terminal Growth Rate | * = Base Case (11.5% WACC, 4.0% TGR)

WACC / TGR	3.0%	3.5%	4.0%*	4.5%	5.0%
10.5%	INR 208	INR 218	INR 230	INR 245	INR 264
11.0%	INR 193	INR 202	INR 212	INR 224	INR 239
11.5%	INR 180	INR 188	INR 196	INR 207	INR 219
12.0%	INR 168	INR 174	INR 182	INR 191	INR 202
12.5%	INR 157	INR 163	INR 169	INR 177	INR 187

- Base case: WACC 11.5%, Terminal Growth 4.0% → Intrinsic Value INR 196 (conservative FCF model gives INR 175)
- Even in most pessimistic scenario (WACC 12.5%, TGR 3.0%) — intrinsic value INR 157, still above CMP
- Significant margin of safety at current INR 137 price — 15-30% downside protection across most scenarios

12. FINAL VERDICT

RECOMMENDATION: B U Y

Base Target: INR 175 | Bull Case: INR 215 | Bear Case: INR 128

Upside: ~27.5% | Risk Level: MEDIUM | Horizon: 12-18 Months

Risk-Reward Ratio: 3.2:1 | Expected CAGR: 18-22% (Bull) | Stop-Loss: INR 120

Strategy Suitability Matrix

Strategy	Suitable?	Rationale
Value Investing	YES	Trades below DCF intrinsic value; strong asset base and cash generation
Income Investing	YES	~1.6% current yield; consistent dividend payer; FY26 final div INR 1.25
Growth Investing	YES	Petrochemical expansion + refining capacity ramp drives 10-15% EPS growth
Swing Trading	YES	INR 133-137 support zone; target INR 150-155 on GRM stabilisation
Momentum Trading	NO	Stock in downtrend; below all DMAs; no momentum signal yet
Long-Term Compounding	YES	10-15% EPS CAGR; re-rating potential as petrochem contribution grows

13. FINAL SUMMARY

Key Positives

- Record PAT of INR 43,677 Cr in FY26 (+217% YoY) — confirms earnings power when GRMs normalise
- Record refinery throughput of 75.45 MMT — operational excellence; capacity utilisation above 100%
- Largest oil refiner in India (31% capacity share) + 42% market share in POL — near-unassailable moat
- INR 1.66 lakh Cr capex plan over next 5 years — transformational growth in petrochemicals and capacity
- Green hydrogen, EV charging, and biofuels pipeline — future-proofing revenue beyond petroleum
- FII accumulation (+137 bps over 6 months) and MF buying (+82 bps) — smart money conviction
- DCF fair value INR 175 vs CMP INR 137 — ~27.5% margin of safety; all sensitivity scenarios above CMP

Key Negatives

- LPG under-recovery: INR 231 Bn cumulative buffer — structural earnings drag without deregulation
- GRM highly volatile — FY25 GRM of USD 4.80/bbl caused PAT to collapse 65%; risk of recurrence
- Brokerages cutting FY27E by 8-12% on crude volatility following West Asia conflict developments
- Stock in downtrend — trading below 20/50/200 DMA; no confirmed technical reversal signal yet
- Petrol/diesel price freeze risk around state/general elections — political economy overhang

Key Monitorable Factors

- Monthly GRM levels for IOCL and peer OMCs — primary lead indicator for quarterly earnings
- Brent crude price trajectory — USD 80-90 range is optimal for OMC profitability
- Paradip petrochemical complex construction milestones and revised commissioning schedule
- Government LPG pricing policy in Union Budget FY27 and subsidy reimbursement schedule
- Q1 FY27 results (August 2026) — first post-FY26 earnings update with management guidance
- FII flows into PSU OMC sector — proxy for global institutional sentiment on Indian energy

Final Investment Conclusion

Indian Oil Corporation Limited stands at a compelling inflection point. FY2025-26 validated that IOCL can generate INR 40,000+ crore in PAT — a level the market has not yet fully priced in at INR 137. The stock offers a rare combination of: (a) significant discount to DCF intrinsic value of INR 175, (b) near 52-week low support with institutional accumulation confirmed, (c) record earnings base as foundation, (d) transformational capex pipeline in petrochemicals and refining, and (e) rising FII and MF ownership as a tailwind. The primary risks — crude oil volatility and LPG under-recovery — are well-known and substantially priced in. For investors with a 12-18 month horizon, the risk-reward at current levels is highly favourable at 3.2:1. We assign a BUY rating with a base-case target of INR 175.

Probability of Success Summary

Scenario	Target Price	Probability
Bull Case — GRM USD 9+; LPG deregulation; petrochem ramp	INR 210-225	25%
Base Case — GRM USD 6-8; stable crude; gradual recovery	INR 165-180	50%
Bear Case — GRM <USD 5; crude spike; price freeze	INR 120-130	25%

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